

Plan of the Day

- ◆ Credit Cards, Credit Reports, Credit Scores, ID Theft
- ◆ We will have a poll in class – using poll everywhere (website or download the app!)

MGMT 205

Session 3

Credit Scores, Credit Reports, Credit Card Use, and ID theft

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Credit Score – What is it?

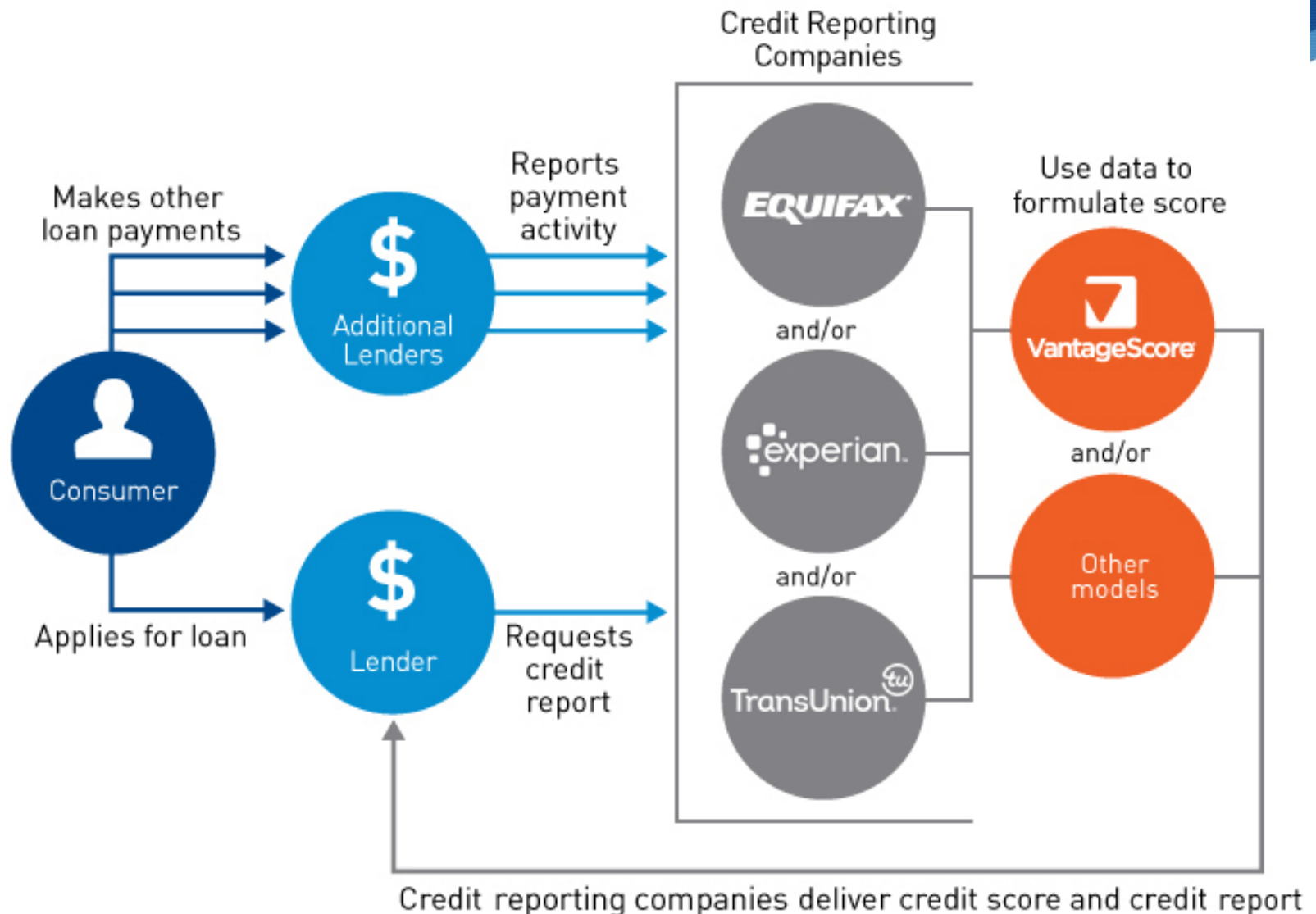
- Estimates the likelihood that you will handle new credit in a satisfactory manner.
 - The Higher Your Score, The Better The Credit Risk You Are
- A numerical score generated based on information from your credit report.
- Used by Lenders/Creditors to:
 - Make the Credit Decision.
 - The Amount of Credit to be Granted.
 - The Price of the Credit.



Credit Scores – How Used?

- ◆ “Old School” use of a credit score
 - ◆ Determines your **access to** and your **cost of** credit
- ◆ “New School” use of a credit score
 - ◆ Determines your access to and your cost of credit
 - ◆ Employment applications
 - ◆ Cost of Car and Health Insurance
 - ◆ Compatibility on Dating Websites Really!!!!

The Big Picture



Your Credit Report

- ◆ Details Your Use of Credit over the Past 7 -10 years.
 - ◆ Individual Credit Facilities
 - ◆ Credit Cards
 - ◆ Mortgages and Home Equity Loans
 - ◆ Car Loans, Student Loans, Leases (Car and Home rental)
- ◆ Credit Limit, Cost of Credit, Payment History
 - ◆ Average use as a percentage of maximum credit line.
 - ◆ Was Payment Satisfactory or Unsatisfactory?
 - ◆ Did Borrower or Lender close the account?
- ◆ Defaults
 - ◆ Work Outs, Charge-Offs, and Bankruptcy

Your credit report

- ◆ Three (3) Credit Reporting Companies

- ◆ Experian Information Services, Inc.

- ◆ Experian.com

- ◆ Equifax, Inc.

- ◆ Equifax.com

- ◆ TransUnion LLC

- ◆ Transunion.com



- ◆ Each must supply you with a **FREE** credit report

- ◆ Once in 12 months

- ◆ **ONLY** use the website “annualcreditreport.com” to access your free reports.

Credit Reports → Credit Score

- Information on Your Credit Report is Used by Lenders/Creditors to Generate a “**Credit Score**”.
- This “**Credit Score**” is used by the Lender/Creditor to Estimate the Likelihood that You Will Repay the Obligation Under the Terms of the Contract.
 - Fair Isaac Corporation (“FICO”)
 - Vantage Score
- All “**Credit Scores**” are **Unique**
 - Based on Different Formulas
 - Based on Different Information
- Your Credit Score is NOT on your credit report. The information from the report is used to calculate your credit score.

Your Credit Score

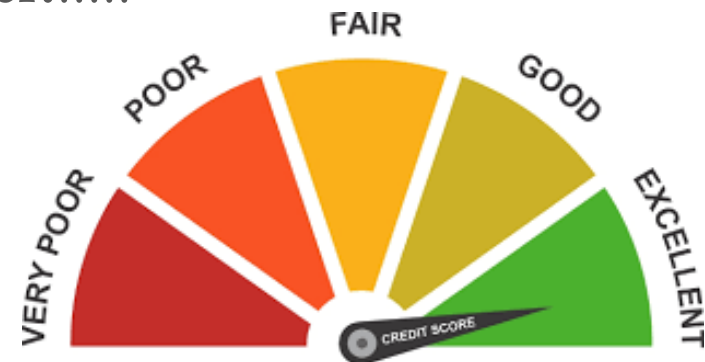
How Calculated?

- Information in your credit reports is put into a “model”
- Each model is unique and proprietary
 - Each credit score model gives different weighting to different factors
 - Each credit report has different information
 - Consequently, scores are very similar, but they do differ
- The “model” generates a “credit score,” which is used to:
 - Determine if you will be granted credit
 - Determine amount of credit to be granted
 - Determine the cost of credit.



The FICO Credit Score (it's not the only credit score)

- ◆ The Fair Isaac Corporation
 - ◆ Developed its model in 1958.
 - ◆ Most widely used credit score in the USA
- ◆ Sells its scores to Lenders/Creditors
- ◆ A FICO Score Ranges from 300 to 850
 - ◆ The **higher** your scorethe **better!!!!!!**



“FICO Score” Stats

- ◆ Approximate Credit Rating (per FICO):

- ◆ Exceptional: 800+
- ◆ Very Good: 740 – 799
- ◆ Good: 670 – 739
- ◆ Fair: 580 – 669
- ◆ Poor: Below 580

- ◆ Average FICO Scores

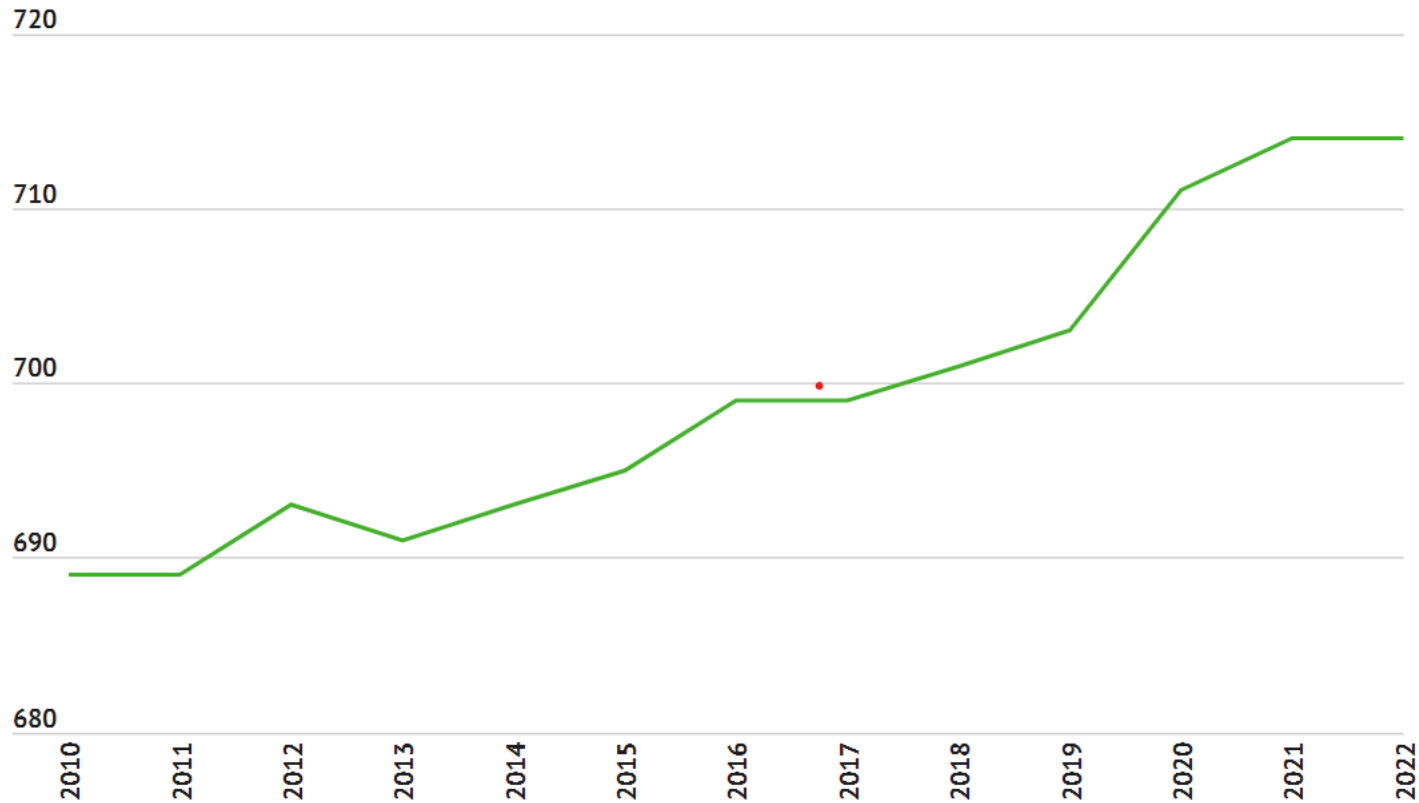
- ◆ Average Score – 714



National Average Fico Score

(www.experian.com)

Average FICO score



Source: Experian (2023).

“FICO Score” Stats

(2022 Data per Experian)

◆ **Distribution of FICO Scores**

- ◆ Below 600 ~16%
- ◆ Between 600 –700 ~21%
- ◆ Above 700~ 64%

◆ **Average FICO Scores by Age Group**

- ◆ Gen Z: 18 to 25 years old= 679
- ◆ Millennials: 26 to 41 years old= 687
- ◆ Gen X: 42 to 57 years old= 706
- ◆ Baby Boomers: 58 to 76 years old = 742
- ◆ Silent Gen: 77 years and older= 760





True or False: You have to pay interest to have a good credit score.

0

A True

0

B False

0

Credit Score

Payment History (35%)

- ◆ “Good Stuff” and “Bad Stuff”
 - ◆ “Good Stuff” stays in your Credit Report for 10 years.
 - ◆ “Bad Stuff” stays in your Credit Report for 7 to 10 years.
- ◆ Your Past Management of Credit and Loans.
 - ◆ Have you made at least the minimum payment?
 - ◆ Have you made payments on time?
 - ◆ Have you ever exceeded your credit limit?
 - ◆ Have you had a “loan restructuring” –WORK-OUT?
 - ◆ Have you ever declared bankruptcy?





True or False: You need to use credit to get a good credit score.



A True

0

B False

0

Credit Score

Diversity of Credit History (10%)

- ◆ **Use Different Types of Loans/Credit**

- ◆ Credit Card
- ◆ Car Loan/Lease
- ◆ Mortgage/HELOC
- ◆ Apartment Lease
- ◆ Student Loans
- ◆ Finance Companies

- ◆ **The Impact on Your FICO Score**

- ◆ The more variety of loans/credit, the higher your FICO Score

True or False: Asking your credit card company to lower your credit limits can boost your credit score.



A True

0

B False

0

Credit Score

Amount Owed (30%)

- ◆ How Much of Your Credit Limit Do You Use?
 - ◆ Each form of credit has a maximum amount that you can borrow against at any one time.
 - ◆ How much does your total outstanding come to your total credit limit each month?
- ◆ The Impact on Your FICO Score
 - ◆ The greater the percentage of the aggregate available credit you use on average, the lower your credit score.
 - ◆ The lower of the percentage of aggregate available credit you use on average, the higher your credit score.
 - ◆ Goal: Keep outstanding balances at no more than **25%-30%** of available aggregate credit.



True or False: Closing credit accounts will help your credit score



A True

0

B False

0

Credit Score

Length of Credit History (15%)

- ◆ Length of the Relationship with a Lender/Creditor
 - ◆ How long have you maintained a satisfactory relationship with individual lenders and creditors.
- ◆ The Impact on Your FICO Score
 - ◆ The **longer** the relationship (assuming it has been satisfactory), the **higher** your FICO Score.

True or False: Getting multiple quotes for home and auto loans will hurt your credit score.



A True

0

B False

0

Credit Score

Recent Credit Application (10%)

- ◆ Number of Credit Applications You Submitted Last 12 Months
 - ◆ The model assumes that you seek more credit because you cannot access more credit from your existing sources of credit.
 - ◆ Increases the possibility of you “Robbing Peter to Pay Paul”.
- ◆ The Impact on Your FICO Score
 - ◆ The **greater** the number of recent inquiries, the **lower** your FICO Score.



True or False: Checking your CREDIT REPORT will hurt your credit score.



A True

0

B False

0

True or False: Credit counseling may be helpful for your credit score when compared to bankruptcy.

0

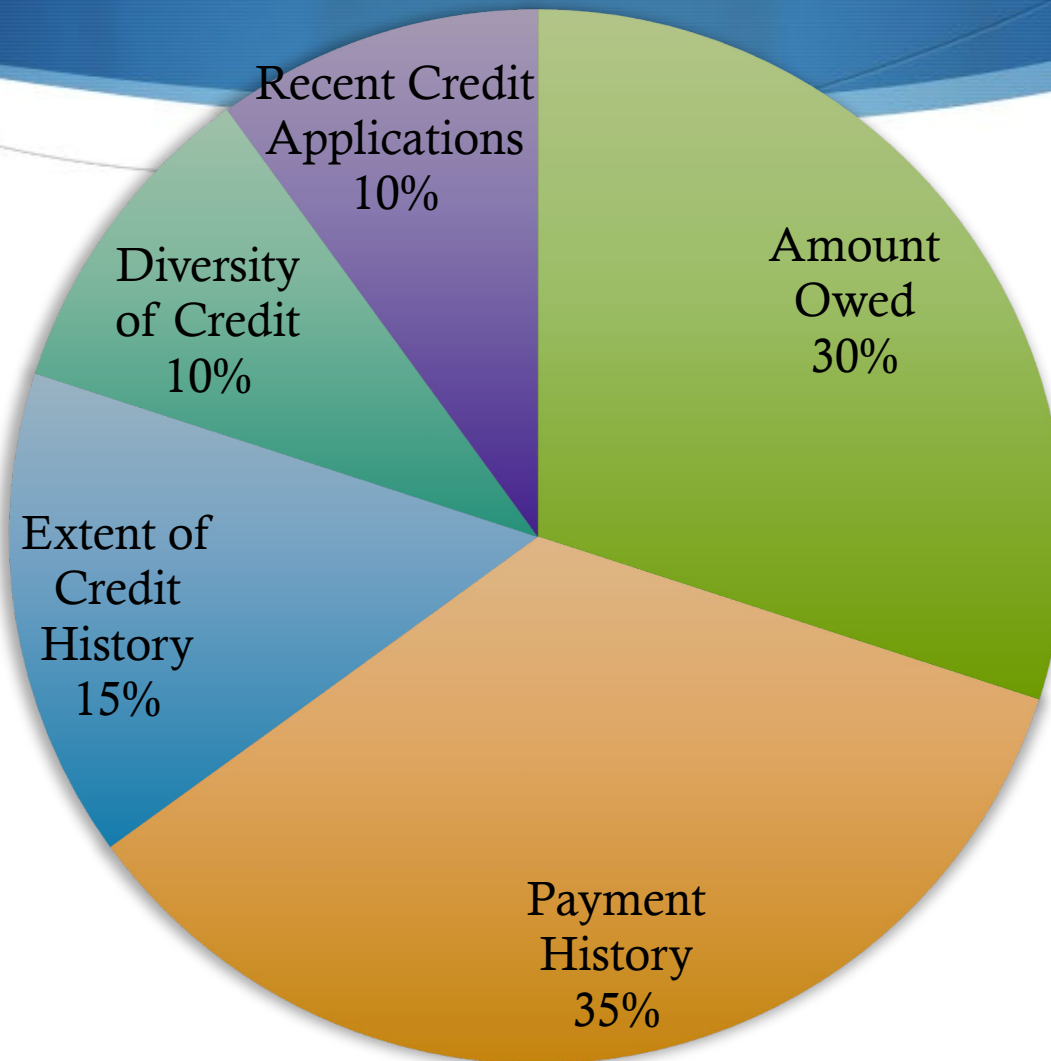
A True

0

B False

0

FICO Credit Score Factors



Where to find your FICO score?

- 💧 Pay For It

- 💧 You can purchase an updated score from FICO.



- 💧 Get It For Free From Your Lenders

- 💧 Credit card Issuers provide your credit score on your credit card statement every month (Discover, Citicorp. Barclays)



- 💧 Use a “Proxy Score” for Free

- 💧 CreditKarma.com



Improving Your Credit Score Long - Term

◆ Building a Good and Long Credit History

- ◆ Do Not Exceed your Credit Limit
- ◆ Make Payments On Time.
- ◆ Pay More than the Monthly Minimum Payment.
- ◆ Concentrate your purchases on no more than 2 -3 credit cards.
- ◆ Make sure all of your loans/leases appear on your credit report.

◆ Diversify Your Use of Credit

- ◆ Try to establish at least three (3) different types of credit.
 - ◆ Credit Card
 - ◆ Student Loan
 - ◆ Auto Loan/Lease
 - ◆ Mortgage/ Apartment Lease

Improving Your Credit Score Short - Term

- ◆ LIMIT the Percentage of Your Credit Limit That You Use on Each Month on Each Credit Card.
 - ◆ Try not to exceed 25% of your total credit limit on any card in any month.
- ◆ If You Do Exceed 25% of Your Credit Limit on a Card.
 - ◆ Credit Reporting Cos. Report the balance at the end of a billing cycle.
 - ◆ So.....make partial payments **before the end of the billing cycle** in order to reduce the amount that will be reported.

Improving Your Credit Score

Short - Term

- ◆ Do **Not** Apply for New Credit for one (1) year.
 - ◆ Credit inquiries (which lower your score) usually fall off your report after 12-18 months, score recovers to its former level).
 - ◆ REFUSE ALL Department Store Card Promotions!
- ◆ Do **Not** Request for an Increase in Your Credit Limit.
 - ◆ A request may trigger a credit inquiry, which will lower your score.

Improving Your Credit Score Short - Term

- ◆ If you have **good** credit:
 - ◆ You have run up large balances on your credit cards, resulting in an outstanding/credit limit ratio in excess of 40%.
 - ◆ **Consolidate** all of the outstanding balances into an Installment Loan.
 - ◆ Installment loan balances have less of an impact on your Credit Score than outstanding balances on credit card debt.
- ◆ If you have **poor** credit:
 - ◆ You can use the above strategy, but access to an installment loan may be restricted and the cost of the loan will be much higher.
- ◆ If you have **NO** credit:
 - ◆ Apply for a credit card with low credit limit (\$1,000 or so)
 - ◆ Make 1 charge each month, wait for the statement date, then pay it off every money **BEFORE** the due date.

Credit Cards



The Big Picture - REALITY

- ◆ To function in the current reality, at least 1 credit card is necessary:
 - ◆ Online purchases, Travel, Rentals, etc.
- ◆ Can be “free” and very helpful or a very costly “thorn”
 - ◆ Convenient method of payment
 - ◆ Permanent source of credit
- ◆ Credit Card Act of 2009
 - ◆ Level the playing field by giving increased rights and making the terms and conditions of credit more transparent to credit card users

How Credit Cards Work



In Class Exercise 1

Credit Card Offer

- ◆ Complete the Credit Card Offer Exercise to review an offer and review important vocabulary.
- ◆ You will submit your completed activity to canvas at the end of class.

Interest Rates

- ◆ The Annual Percentage Rate (“APR”)
 - ◆ Includes interest rate and any fees associated with the credit card.
 - ◆ It is calculated the same way by all Credit Card Issuers.
 - ◆ Interest is compounded monthly.
 - ◆ Best way to “compare” the cost of different credit cards.
- ◆ Fixed APR
 - ◆ The interest rate is fixed until further notification.
 - ◆ Quite hard to find a Fixed APR under current market conditions.
 - ◆ Rate can be changed only if Issuer gives 45 days notice.

Interest Rates

- ◆ Variable APR
 - ◆ APR is the combination of a variable rate of interest (e.g. Prime Rate) plus a fixed credit.
 - ◆ When the variable rate changes, the interest rate changes.
 - ◆ Vast majority of credit cards carry a Variable APR.
- ◆ Teaser Rates
 - ◆ Credit card issuers will offer a “below market rate” that is effective for 6 mos. to 12 mos.
 - ◆ Once “teaser rate” period expires, interest is set at the “market rate”. (can be 100% higher than the teaser rate).
- ◆ Penalty Rates – Currently around 29.99%!!!! Ouch!
- ◆ Market APRs as of September, 2023 (Bankrate.com) 20.68%

Calculating Interest

- ◆ Interest is due on all unpaid balances.
- ◆ If you pay-off your credit card balance on every due date.
 - ◆ There is no unpaid balance, and therefore, no interest charge.
- ◆ If you do not pay-off your full balance.
 - ◆ The Issuer will charge interest based on;
 - ◆ The Average Daily Balance Method (used by just over 95% of credit card issuers)
 - ◆ The APR.
 - ◆ The number of days in the billing period

Credit Card Grace Period

◆ The Grace Period

- ◆ Period of time between the date of purchase and when the credit card issuer starts to charge you interest on the amount of the purchase.
- ◆ Once the grace period expires, you are charged the APR on the purchase.
- ◆ Minimum legal grace period is 21 days from the date the billing statement is mailed to the credit card user.

◆ The Cost to Carry a Balance from One Period to the Next.

- ◆ You lose the grace period on all new purchases.
 - ◆ You are charged the APR on the date of purchase.
- ◆ You lose the grace period on new purchases even if you carry a balance of \$0.01 from one billing period to the next.

Credit Card Costs

💧 The Annual Fee

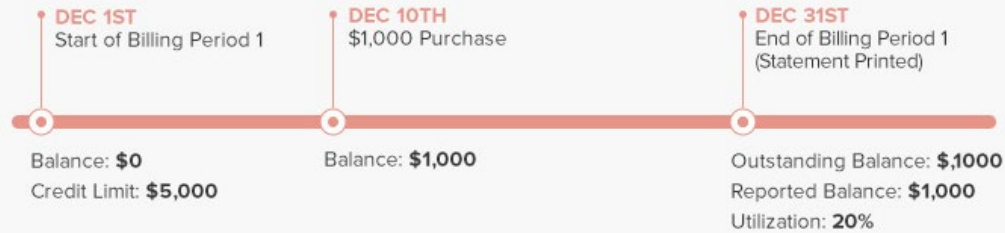
- 💧 Majority of credit cards do not charge an annual fee.
 - 💧 70% of the 25 largest credit card issuers do not charge an annual fee.
- 💧 The minority that do charge a fixed dollar amount on the anniversary of the card.
 - 💧 Prestige Cards
 - 💧 Reward Cards.

💧 Drawing a Cash Advance Against Your Credit Card

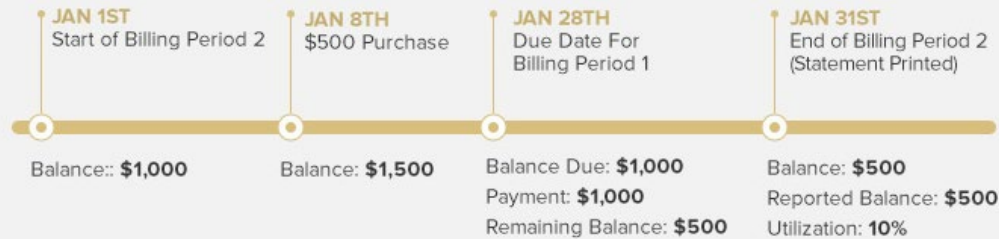
- 💧 Interest begins to accrue immediately. (NO GRACE PERIOD).
- 💧 Higher APR than on other purchases.
- 💧 A fee ranging from 2.0% to 4.0% of the advanced amount.

Timeline Of A Credit Card Balance

BILLING PERIOD 1



BILLING PERIOD 2



BILLING PERIOD 3



Sally uses her credit card to purchase a new pair of jeans from Buckle on January 5. The cut-off or statement date of her card is the 15th of each month. And her payment due date is the 10th each month. When will Sally actually pay for the jeans?

37



Exercise: Reading a Credit Card Statement

- ◆ Complete the credit card statement exercise. You will submit your assignment to canvas inclass activities by the end of class.

Credit Cards: Cost of Carrying a Balance



PAYING OFF CREDIT CARD DEBT

Outstanding Balance	\$1,500.00
APR	14.50%

Monthly Payment	\$25.00
Months to Pay-Off	108
Total Payments	\$2,700

Monthly Payment	\$50.00
Months to Pay-Off	38
Total Payments	\$1,900

Monthly Payment	\$100.00
Months to Pay-Off	17
Total Payments	\$1,700

Credit Cards: Problems



Problem:

Your application is rejected

💧 Option 1

- 💧 Ask why you were rejected.
- 💧 Make the changes that are required to qualify for credit.

💧 Option 2

- 💧 Apply for a Secured Credit Card
 - 💧 Deposit funds in a restricted account with a bank.
 - 💧 Bank issues credit card with a credit limit slightly below the funds on deposit.

💧 Option 3

- 💧 Apply for a card with a different financial institution.

Problem: Billing Errors

◆ Common Errors

- ◆ Double charged for same item
- ◆ Billed for something you do not recognize
- ◆ Billed for an item or service that you bought but never received

Resolving Billing Errors

◆ Fair Credit Billing Act (FCBA)

- ◆ You are allowed to withhold payment for charges in question while you petition the card issuer to investigate the matter.
- ◆ You must notify card issuer of your dispute **WITHIN 60 DAYS** of the statement date.
- ◆ You must notify the card issuer in **WRITING**, citing;
 - ◆ Statement Date and Transaction Number
 - ◆ Description of error.
 - ◆ Date of error.
 - ◆ Amount of error.
 - ◆ Reason you are disputing the charge.
 - ◆ You are making this dispute in accordance with the FBCA.

Resolving Billing Errors

💧 Within 30 Days

- 💧 You should receive a letter advising that an investigation has been started.

💧 Within 90 Days or 2 Billing Cycles

- 💧 Issuer must complete its investigation.
- 💧 If you win, your account is credited for the disputed amount.
- 💧 If you lose, the disputed amount is due.

💧 If You Lose Your Dispute

- 💧 If you do not pay, you are considered **delinquent**. This can be reported to credit reporting agencies.

💧 What You Should Do

- 💧 You can contact the regulatory agency that oversees the Issuer and seek positive resolution.
- 💧 You can hire a lawyer or consider filing a suit in small claims court.

Identity Theft

- ◆ If you are a Victim of Identity Theft
 - ◆ Contact the Fraud Department of all the three major credit reporting bureaus to place a fraud alert on your account
 - ◆ Equifax, Experian, TransUnion
 - ◆ Close the accounts that you believe have been “hacked” or opened fraudulently
 - ◆ File a Police Report
 - ◆ File a complaint with the Federal Trade Commission (FTC) at the government’s consumer information website at www.consumer.gov

Credit Cards:

Protect yourself from fraud

- ◆ Your Liability Is Limited to \$50.00 per card
 - ◆ You DO NOT need credit card insurance. (Fair Credit Billing Act)
- ◆ Save your receipts and match them up against the charges on your statement
 - ◆ Once your done, destroy the receipts. These receipts contain your credit card number.
- ◆ Do not give your credit card out unless your are purchasing an item, you initiated the sale, and the telephone is a private land line
 - ◆ Cell phones are not as secure and people can “eavesdrop”.
- ◆ Do not use unsecured Wi-Fi to make purchases.
 - ◆ Only transact business on a secure network.
- ◆ Never leave the store without your card
 - ◆ Hold your wallet/purse in your hand until you receive your card back.

Video: ID Theft Prevent Phishing Scams STOP Method

💧 <https://www.youtube.com/watch?v=yxlR1st8QKI>

Recommendations

- ◆ What Card is Best for you?
 - ◆ Convenience User (i.e. you do not carry a balance)
 - ◆ No need to consider the interest rate
 - ◆ Consider:
 - ◆ Annual Fees
 - ◆ Rewards (Cash Back and Points)
 - ◆ Credit User (i.e. You carry a balance)
 - ◆ Interest Rate is your largest cost of credit, annual fee is minor cost.
 - ◆ Focus on the APR

Where to look for Credit Cards

- ◆ Credit Users
 - ◆ Your Current Bank
 - ◆ Credit Union
 - ◆ Bankrate.com
- ◆ Convenience User
 - ◆ Creditkarma.com
 - ◆ NerdWallet.com
 - ◆ Creditcards.com
 - ◆ Frugaltravelguy.com
 - ◆ Others.....



Recommendations

- ◆ Understand and Realize what your FICO score impacts
- ◆ Know your current credit score
 - ◆ Self inquiries do not impact your score
 - ◆ Check if credit card providers give it for free
 - ◆ Establish free account at CreditKarma.com
- ◆ Know what is in your credit reports and review it annually!
 - ◆ This month – request your free annual credit report from Experian
 - ◆ Next month – request your free annual credit report from TransUnion
 - ◆ In 2 Months – request your free annual credit report from Equifax
 - ◆ After 12 months – review at least 1 report annually (or every 4 months!)

Recommendations

- ◆ Credit Reports
 - ◆ Report any errors on credit reports in writing to the credit reporting company
 - ◆ Follow up to ensure it was corrected
- ◆ Plan for credit needs
 - ◆ Work to increase your credit score during the 24 months prior to requesting a large loan.
- ◆ Pay off Credit Card Balances EVERY month.
 - ◆ If you won't be able to pay off the credit card bill, then you cannot afford what you are about to purchase.

Questions

???